

Operating and Other Expenses

All the costs incurred in running a company are called operating and other expenses, and include:

1. *Selling Expenses*: The cost of advertising, sales commissions, sales promotion expenses and other sales related expenses.
2. *Administration Expenses*: Rent of offices and factories, municipal taxes, stationery, telephone and telex costs, electricity charges, insurance, repairs, motor maintenance, and all other expenses incurred to run a company.
3. *Others*: This includes costs that are not strictly administration or selling expenses, such as donations made, losses on the sale of fixed assets or investments, miscellaneous expenditure and the like.